

CANDIDATE’S NAME.....

SIGNATURE.....

P830/2

Entrepreneurship Education

Paper 2

3 hours

<i>Personal number</i>							



**Apex Examination
Council**

PRE-MOCK EXAMINATIONS SET ONE 2026

UGANDA ADVANCED CERTIFICATE OF EDUCATION

ENTREPRENEURSHIP EDUCATION

PAPER 2

Time: 3 Hours

INSTRUCTIONS TO CANDIDATES

- * This paper consists of three sections: A, B and C. Answer FOUR items in all.
- * Answer ANY TWO items from Section A.
- * Section B is compulsory.
- * Answer ANY ONE item from Section C.
- * Credit will be awarded for application of entrepreneurial knowledge, skills, values and attitudes.

SECTION A

Answer any two items

ITEM 1

A group of Senior Six leavers in Kasese District observed that large quantities of bananas were wasted during harvest seasons because of inadequate storage and processing facilities. After conducting environmental scanning and market research, they discovered increasing demand for banana flour, banana crisps and livestock feeds made from banana peels.

The group intends to establish a banana value-addition enterprise but lacks adequate knowledge on evaluating investment opportunities and selecting the most profitable venture.

Task

Prepare a presentation in which you:

- (a) Explain the process of identifying and evaluating business opportunities.
- (b) Assess the factors that influence the selection of a profitable business opportunity.
- (c) Recommend the most suitable business opportunity for the group and justify your choice.
- (d) Explain the entrepreneurial skills required for successful implementation of the project.

ITEM 2

Many Small and Medium Enterprises (SMEs) in Uganda fail within their first three years of operation. Business analysts attribute this problem to poor planning, inadequate management skills, limited access to finance and weak branding strategies.

Kisubi Bakers Ltd, a growing bakery enterprise, has experienced declining sales because customers cannot easily distinguish its products from those of competitors.

Task

Prepare a presentation in which you:

- (a) Explain the contribution of SMEs to Uganda's economy.
- (b) Analyse the causes of high SME failure rates in Uganda.
- (c) Recommend strategies for improving SME survival and growth.
- (d) Explain how Kisubi Bakers Ltd can develop a strong personal and business brand.

ITEM 3

A community in Pallisa District experiences high youth unemployment, environmental degradation and poor waste management practices. A group of young entrepreneurs intends to establish a social enterprise that converts plastic waste into reusable household products while creating employment opportunities for local youth.

Task

Prepare a presentation in which you:

- (a) Explain the meaning of social entrepreneurship.
- (b) Assess the benefits of the proposed social enterprise to the community.
- (c) Explain the steps involved in establishing a social enterprise.
- (d) Recommend strategies for ensuring environmental sustainability and long-term success of the enterprise.

SECTION B (Compulsory)

ITEM 4

Sunrise Dairy Products Ltd processes milk into yoghurt, fresh milk and cheese. The enterprise has experienced rapid growth due to increasing customer demand. However, management faces challenges including inconsistent product quality, poor inventory control, labour turnover, rising production costs and increasing competition from imported dairy products.

The company intends to expand production and enter regional markets.

Task

Prepare a report in which you:

- (a) Explain the production management practices required to ensure product quality and efficiency.
- (b) Assess the factors influencing production decisions in the enterprise.
- (c) Recommend marketing strategies for expanding market share and customer loyalty.
- (d) Propose human resource management strategies for improving employee productivity and retention.
- (e) Explain the importance of a business plan in guiding the future growth of the enterprise.
- (f) Evaluate the strategies the enterprise can adopt to remain competitive in regional markets.

SECTION C

Answer any one item

ITEM 5

Victory Furniture Ltd intends to expand its operations by constructing a modern production facility. Management is considering raising capital through the Uganda Securities Exchange while also reviewing the company's financial performance before making investment decisions.

Task

Prepare a report in which you:

- (a) Explain the role of capital markets in business growth.
- (b) Distinguish between shares and bonds.
- (c) Explain the procedures followed when raising capital through the Uganda Securities Exchange.
- (d) Assess the advantages and disadvantages of raising finance through capital markets.
- (e) Explain the importance of financial statements in business decision-making.

ITEM 6

Prime Traders Ltd is a VAT-registered enterprise dealing in wholesale consumer goods. The business has recently experienced losses arising from fire outbreaks, theft and accidental damage to stock. Management is also facing challenges relating to tax compliance and accurate computation of tax liabilities.

Task

Prepare a report in which you:

- (a) Explain the importance of insurance in business operations.
- (b) Describe the principles of insurance applicable to the enterprise.
- (c) Explain the importance of tax compliance to business sustainability.
- (d) Assess the challenges businesses face in complying with tax regulations.
- (e) Recommend measures for improving insurance coverage and tax compliance within the enterprise.

END